Unit - 7

Pricing Decisions

Concept of price and pricing.

Factor affecting pricing decision (Internal and external price factors)

Pricing approaches-cost-based, value

based and competition-based approaches.

New product pricing decisions.

Initiating and responding to price

changes Pricing practice in Nepal

Concept of price and pricing.

- **Price** is the money charged for a goods and services. An item of computer cost a certain amount of money. Or a computer technician charges a certain fee for fixing your computer.
- Price is also what a customer must pay in order to received a product or service. While in barter system price is paid in terms of commodity
- In other word, price is the value exchanged for the utility of a product or service. Eg: a the value of book is 500, fees of doctor is 700, the cow is equivalent to 100 goats.
- <u>Pricing</u> means the determination of appropriate value to a particular goods or services.
- Determination of value of a product is a very difficult task for a marketer, because it involve a technical job and requires experience and efforts.

Factors affecting price determination

- Internal factors: these factors are controllable in nature. These factors include

a) Pricing objective: the level of price to be determined is affected by the company's pricing objective. If the company adopts profits oriented objective, the level of price become a litter higher, if it adopts a long term sales oriented objective, the price level will be little lower.

b) Organizational factors: organizational factors such as production policy, pricing policy etc. affects the pricing directly. As these policies are formed by the top level management of the firm they can be controlled.

c) Cost: without production cost, no goods can be produced. As a price of product need to be determined including production cost, then price also increases due to increase in production cost. Just the same, if production cost decreases price decreases.

d) Marketing mix: the price of a product is affected by other elements of the marketing mix such as distribution strategy, promotion strategy and nature of product. If company distribute products through specialized distributors, then cost of production will be high and price of product also high. Some companies promote their products through less expensive mass media such as radio, newspaper or some promote expensive media such as TV, cinema. Adoption of these promotional strategies may cause cost differences. Similarly, the selection of price limits is affected by the nature of products like expensive, luxurious (high price) or essential items (low price).

- Extern factors: external factors are generally uncontrollable in nature. These factors include:

a) Competition: if there is no competition in price, it can be fixed freely. If there is competition, competitors pricing should be analyzed and suitable price should be fixed.

b) Suppliers: the company that provide necessary equipment, raw materials, machines etc. are known as suppliers. The price they charge for the supply, the continuity of supply, their alternative etc. play a direct role in the price of a final product. If the supplier condition is favorable price is low.

c) Pressure group: save environment group, consumer group, media, etc. are few examples of a pressure group. Such group try to affect the price of products. They give pressure to business firms for their group interest and welfare. Such pressure directly affects the price.

d) Economic factors: economic elements of a country is another critical external factors that affects price determination. The situation of inflation, deflation, overvaluation or devaluation appears in markets. If production cost is low, price should be fixed low. In this way, when cost is decreased or increased, the price should be fixed accordingly.

e) Market demand: demand for product decrease or increase due to change in number of customers, their income, purchasing power, priority, competition among substitute product etc. In the situation when the total demand for product has declined, price should be decreased and when demand is increased it should be increased.

f) Market intermediaries: like agents, wholesalers, retailers, financial institutions, transport companies, insurance companies also affect price of a product. Changes in their charge, commission, price, etc. impact the final price of the product.

g) Government: government makes the arrangement of different policies, rules and regulation for the nation and people's welfare. Like income tax, import duty, excise duty etc. acts and laws lead to the price changes. In government controlled enterprises like telecommunication, electricity, petroleum products, sugar, salt, water supply, government directly controls over pricing the product or services. Increase in the rate of electricity and petroleum products directly affect the price of the product.

Pricing Approaches

Cost based pricing:

- Generally pricing is based on the cost. Most of the companies set their prices on the basis of costs. Under cost oriented pricing, different companies use different pricing strategies like: markup pricing, target return pricing, break-even method etc.

1. Markup pricing (cost plus pricing): most popular and traditional method of pricing.

- In this method, a certain profit margin is added to the total cost. Such margin may be expressed either in terms of % or in value.
- This means businesses can set their retail or selling prices by adding a certain markup to the cost they incurred from creating the goods or services.

- Suppose, total cost of a product per unit is Rs. 100. The seller will add certain % or flat value to the total cost as profit margin, say 10% or Rs. 10. Then the total value will be the sales price of the product, i.e. 100+10=110
- If you want the markup percentage, you can use the following formula:
- Markup % = (sales price-cost price)/cost price ×100 [110-100/100x100=10%] • Some

advantages of markup pricing is increases profit, simple calculation and it recover cost.

2. Target Return pricing:

- It is a strategy that tells the management the total units to be sold to achieve the targeted profit for the particular period.
- It is the minimum rate of return which must be earn by the product.
- Under this method the prices are determined along a planned rate of return on investment.
- For example-a firm may set its price of the product in order to get on an average a 10% return on net investment. If 1000 units were sold last year.

If Variable cost= Rs 4,000

Fixed cost = Rs 6,000

If total investment is Rs 3000 and rate of return on investment targeted is 10% or Rs 300

so total fixed cost(including target rate of return) = 6000+300= Rs 6,300

- Per unit fixed cost=total F.C./Total unit=6300/1000=Rs 6.30
- Per unit variable cost = total V.C/total unit=4,000/1,000= Rs 4.00
- So price should be set to bring 10% return on investment is 6.30+4.00=Rs 10.30 per unit.

3. Break even method pricing:

- It is strategy to setting prices at which business will earn zero profit and no loss too. E.g: cost price Rs. 10 then selling price also Rs. 10
- It means final price is same as product's cost
- BEP does not help to establish price, rather in this system price is already assumed. • BEP= total fixed cost/selling price-variable cost per unit

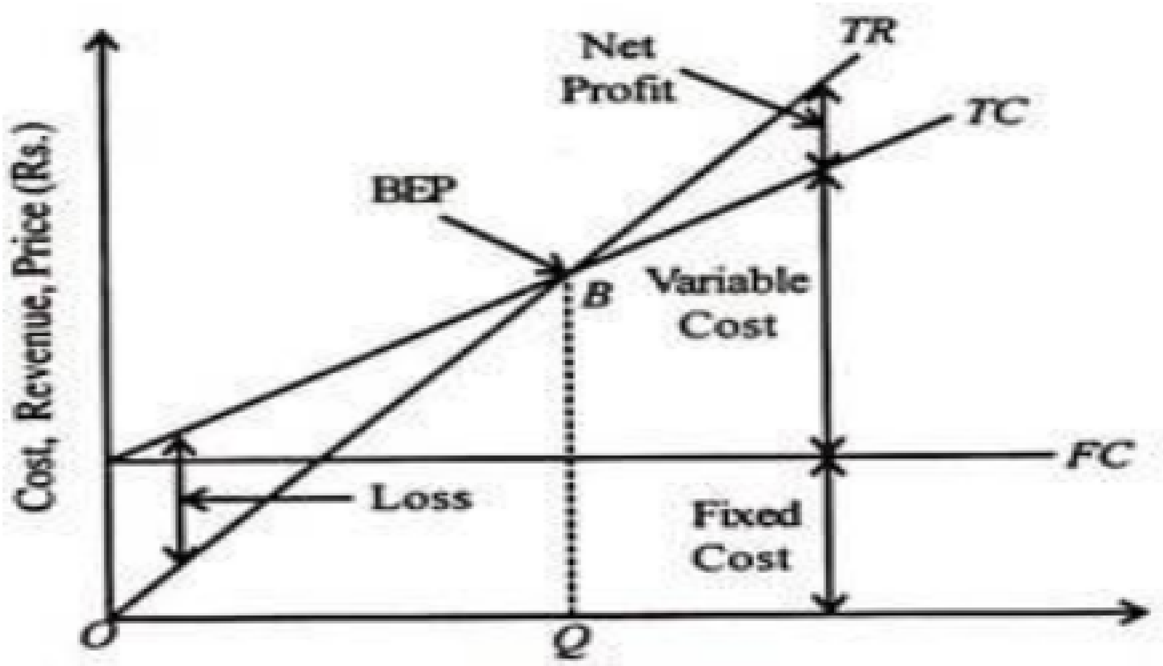


Fig. 1.

Demand/value based pricing:

- In this method price is determined on the basis of the consumer's demand rather than on cost. It is also known as market-oriented pricing.

1. Perceived value pricing: a firm sets the price of a product by considering what product image a customer carries in his mind (perception) and how much he is willing to pay for it. Eg: popular

hair salon. Customer pay more for them, using luxurious bus for travel then pay more than normal bus

- In other words, pricing a product on the basis of what the customer is ready to pay for it, is called as a Perceived-value pricing.
- The process of setting perceived value price is as follows:

  - Identify product features, performance and company’s services
  - Conduct market survey to identify the customers response on each product feature, performance and service
  - Rank their emphasis on the basis of the value they placed
  - Identify the price they wished to pay for the company’s product or service.

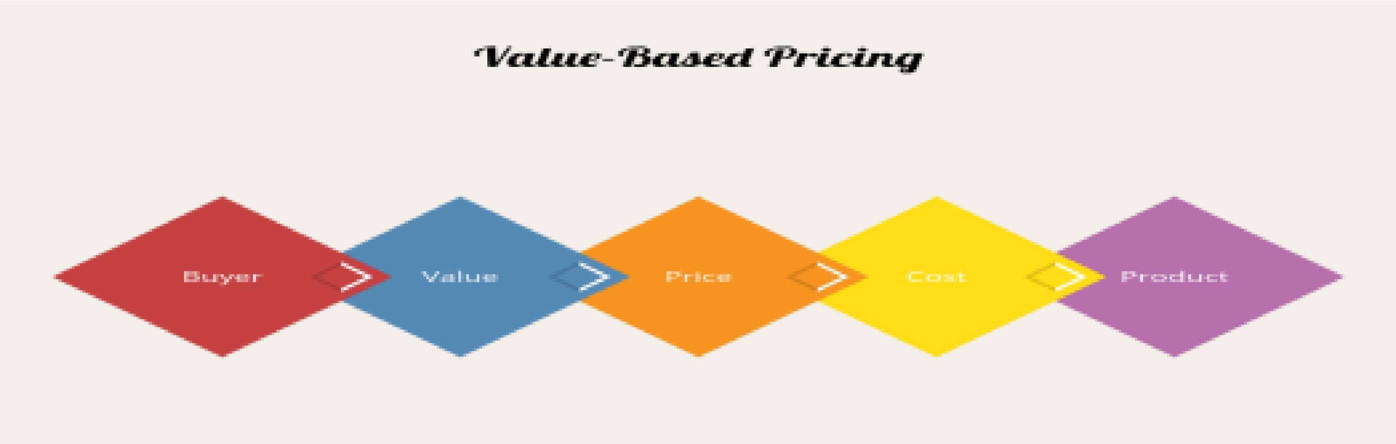
2. Value based pricing:

Also known as value-added pricing or value pricing, is a method of setting prices based on your customers and how they perceive the value of your product. Eg: iphone launch in Taiwan (most of the customer stay whole night outside the showroom) diamond

- Marketer may adopt two pricing strategies under value pricing

a) Low price for a high quality offering: in this strategies, marketer's goal is to create loyal customer in the long run. This involves the right combination of quality and good service at a fair price.

b) High price for a high quality offering: in this strategies, the marketer's goal is to maintain price competition, build image in the market and differentiate a company's offers.



3. <u>Demand differential pricing</u>:

A pricing strategy in which a company sets different prices for the same product on the basis of differing customer type, time of purchase etc. is known as demand differential pricing. It is also called Discriminatory Pricing, Flexible Pricing, Multiple Pricing, Variable Pricing.

- Charging different prices to different customers, on the basis of their income, purchasing power, and so forth.

Competition based pricing:

- It involves setting prices based on competitor’s strategies, costs, prices and market offerings. Eg. Packet milk, every company’s selling price is same 50/- per pack,
- There are two methods of competition based pricing

a) Going rate pricing: firm bases its price largely on competitor’s price like LPG gas etc. This method is adopted generally in homogeneous products in a highly pure competition market.

b) Sealed-Bid pricing (tender pricing): this types of pricing is popularly used where firms compete for the jobs on the basis of bids. The objective of the firm in the biding situation is to get the contract, this mean that it hopes to get its price lower than that set by any of the other bidding firms.

New Product Pricing Decisions (Market entry pricing decision)

- New product pricing decision is a pricing strategy that a marketer follows while entering to the market for the first time. Market entry pricing strategy consists of two strategies:

1. Market-skimming price: it involves setting <u>high</u> price for a new product in the initial stage assuming that the customers will pay high price for the new product (for high income customer market segmentation). And then gradually decrease. This is used for innovative product with no/less competition. Eg. Mobile phone, Tide detergent power, Dove shampoo

This types of pricing strategy may be suitable in the following situations:

- If the company is going to launch a new product for the market.
- If the new product is innovative product.
- If the new product has distinct features strongly desired by the customers -

If the demand for the product is fairly inelastic

- If consumers are ready to pay more price for new product.

2. Market-penetration strategy: it involves setting low price for the new product in the initial period with a view to penetrate the mass market immediately and then gradually increase. And this obtain a large sales volume and larger market share. (for all income level customer market segmentation) eg. Ncell (mero mobile)

- This pricing strategy may be suitable in the following situations
  - When a mass market exist for the product
  - When the demand for the product is highly elastic
  - When high competition already exists in the market for the product.

Initiating to Price Changes

- Companies are bound to face market situations where they are required to initiate price changes. It means, either they are to cut the prices or increase the present prices to survive, or maintain status quo for further growth. Initiating price changes involves two possibilities of price cuts and price increases.

1. Initiating price cuts: in this strategy, marketer initiate to reduce the price of the products.

- The following circumstances may lead a firm to consider cutting its price even though such a move may threaten industrial harmony and encourage a price war.

  - Excess capacity: A business may lower prices to increase sales and market share if it has excess capacity.
  - Declining demand: A business may lower prices if demand is declining due to a failing economy or intense price competition
  - Dominate the market through lower cost
  - Consumers assume low quality of product
  - Need for greater market share

2. Initiating price increases: if organization feels that the sales volume will not be affected by small increase in price than the firm may increase the price of the

products. Several circumstances a firm has to increase its prices.

- Product improvement in terms of quality
- Cost inflation (cost of production also increase)
- Over demand of the product
- Adding free service delivery or installation facility to the consumer - Reduction in discount
- Scarcity of the product.
- New tax rate

Responding to price changes by the firm

- When competitors start cutting prices, the business must react to price changes based on the circumstances. The company may have 4 alternative strategies to respond to price changes.

1. Maintaining the price: the first strategy is that the company may maintain its price as it is because the company may think that the reduction of price may loose too much profit, or reduction of price does not affect on market share of the company, or by maintaining its price the company may regain market share in future. <u>It is also called do nothing strategy</u>.

2. Price maintaining with non-price counter attack: the second strategy is that the company may maintain its price by providing non-price services such as warranty, quality service or product, good communication etc. which may attract customers more efficiently.

3. Price reduction: the third strategy is that the company may reduce its price because the company may think that the market is price-sensitive or its cost fall with volume, or it would be difficult to rebuild its market share once it is lost.

4. Price increase with product counter attack: the fourth strategy is that, instead of maintaining or lowering its price, the company might <u>raise</u> its price along with introducing some brands, or redesigning the product, or adding new utilities in the product or providing quality service such as free repair and maintenance etc.

Pricing practices in Nepal

- Market of Nepal is highly price sensitive. Pricing practices in Nepal can be explained as follows:
- Pricing objectives: pricing objective of Nepalese marketers is profit oriented. In most of the areas, marketing is still under the control of government. For example drinking water, electricity, petroleum, telephone etc. In competitive market, sales oriented objectives are also in practice. Some importers have also practiced quality oriented pricing but some have quality imitation objectives like low price for products imported from China. Similarly, quality leadership pricing objectives like a high price for products imported from Japan.
- Methods of pricing: in Nepal, cost plus method is normally used by retailers, public enterprises and smalls firms. Use of break even pricing is very rare in Nepalese context. Sealed bid pricing is mandatory to win government contract. Competition oriented pricing is very popular among the school and colleges, newspapers and magazine, bikes and television etc. Going rate is also in practice for fruits and vegetables. Demand oriented

pricing is practiced by hotel and airlines.

- Pricing strategies and policies: In Nepal, pricing skimming strategy is used in innovative product. Like TV, mobile, laptop were very expensive in initial phase. Penetration pricing has used for imitative product like Chinese products.
- Psychological pricing is very common in Nepal. 99 shops are very popular in urban areas of Nepal. Prestige pricing is used by some boarding schools in Kathmandu. Promotional pricing also common in Nepal. Like discount offer on the occasion of Dashain, Teej, New Year etc. Most of the daily usable consumer non durable products are available in same price. Like, noodles, soap, salt, milk etc. Nepal Telecom, Nepal Electricity, Airlines, Zoo, Museum etc. are practicing flexible pricing policy i.e. price discrimination.
- Discount and allowance is very common. Marketer offer cash discount for prompt payment, quantity discounts for bulk purchase, trade discount for middlemen and festival discount time and again in Nepalese market.

Questions

- What is pricing?
- Give the meaning of price.
- Point out the factors affecting pricing decision.
- Mention about pricing approaches.
- Differentiate between price and pricing.
- Define demand based pricing approach.
- Define competition based pricing approach.
- What is markup pricing?
- What do you know about target return pricing?
- What is market skimming pricing?
- Give the meaning of market penetration pricing strategy. •
Discuss about internal affecting factors of pricing decision. 5 •
Explain the pricing practice in Nepalese market. 5
- Differentiate between price skimming and price penetration strategies. 5
- Describe a few methods for pricing. 10